

the park to win the T20 Cricket World Cup final, a pivotal moment in *Bigg Boss*, or a film awards show in the South. All this is on TV or digital channels owned by the Reliance-Disney entity.

Scale can be a huge advantage in any industry, creating entry barriers. The Reliance-Disney entity will cut across languages and genres, with its channels reporting huge audience interest and very high advertising quotients. The merger is about revenue and the ability to dominate, be it eyeballs, advertising revenue, or the distribution piece. Only the Zee-Sony merger would have come close had it not been called off.

Shashi Sinha, CEO of IPG Mediabrands India, the media and marketing solutions division of advertising giant Interpublic Group, believes the joint venture will benefit the industry. "With its deep pockets, investing in content and technology will now be possible. These are very expensive areas, and money needs to go into them," he says. India remains one of the few high-growth markets globally, whether in TV or OTT. Reliance-Disney, through JioCinema and Hotstar, has a 33% share in this market, making it the largest player.

Vivek Menon, Managing Partner at NV Capital, a debt fund for the media and entertainment sector, says the backing of India's largest industrial conglomerate is a huge plus.

Why? Because the joint venture's media business today is a technology play, and technology requires big spending. He explains that in the US, for instance, the lines between pure media, technology and telecom are blurring. "A tech company can be viewed as one in media like Netflix, Apple or Amazon. Likewise, a telecom company like AT&T has a stake in media through Discovery and Warner Bros," Menon says.

Regarding opportunities in India, he cites Netflix and Amazon, both with high content budgets and a commitment to invest in India. "They want to expand their presence here. Look at Apple TV creating content, and it may only be a question of time before they enter the Indian market."

Reliance-Disney, banking on digital media, can dramatically alter the entertainment landscape. "With the growth in digital, the dependence on advertising will only increase. Subscription could see multiple models either in the form of standalone or bundling contracts or led by transactions," says Menon.

Reliance plans to deploy a substantial chunk of its ₹11,500-crore investment in technology. "Digital infrastructure in India is still being built, though most OTTs have user-friendly platforms. Most of the monies will now go into content acquisition," Menon says.

A BIG DEAL

1

Disney acquired 21st Century Fox from Rupert Murdoch in 2018 for \$71 billion and Star India, a prized asset, came with that

2

Now, the Reliance-Disney joint venture will be the largest in media and entertainment in terms of advertising and subscription market share

3

In the OTT space, it will draw from a large content pipeline across languages and genres to appeal to multiple audiences

4

Disney has struggled with its Indian business and the buyout of Star was its third shot at the market

5

An ill-fated deal with Zee for the ICC television rights have landed Disney's India business in the red by ₹12,548 crore for FY24

